CITY ATTORNEY IMPARTIAL ANALYSIS OF MEASURE EE

Measure EE asks the voters of the City of San Bruno whether they want to amend the City's business license tax structure and rates so that every business pays a revised tax based on gross receipts, with two exceptions, as described below.

The City of San Bruno, like many cities, requires businesses that operate in the City to pay an annual business license tax to support the City's infrastructure, programs, and services. The current business license tax structure provides a variety of tax rates based on various factors for various types of business. These factors include square feet of office space, square feet of rental property, number of residential rooms for rent, average number of employees, number of vehicles used, number of residential units constructed, tiered amounts of gross receipts, number of bowling alleys, and number of amusement devices, among others.

Measure EE, if approved by the voters, simplifies the current business license tax structure by establishing a tax of $75 for gross receipts of $75,000 or less for all businesses, and by establishing tax rates per $1,000 of gross receipts in excess of $75,000 depending on the business classification, as follows:

> $1.00 for "General/Retail," which includes retail sales, restaurants, wholesale trade, manufacturing, public utilities and administrative headquarters.
>
> $2.00 for "Professional and Advanced," which includes services requiring training through higher education, vocational institutions, certification, licensing, or specialized professional skill.
>
> $1.50 for "Real Property and Rental Activities," which includes leasing and renting.
>
> $1.50 for "Services," which includes services that generally require minimal to no formal training, certification, or professional licensing.
>
> $2.00 for "Contractors," which includes contractors, subcontractors, or builders.

The revised business license tax structure proposed by Measure EE reduces taxes for some businesses and increases taxes for others. Measure EE does not change the business license tax for cardrooms, which is based on the number of authorized tables, and airport parking facilities, which is 8.0% of gross receipts.

Measure EE was placed on the ballot by the San Bruno City Council. The City estimated that Measure EE would raise approximately $4,000,000 per year for use in the City. Measure EE provides that the tax will be in effect until ended by the voters.

The business license tax is a general tax, which means the revenue can be used for all general governmental purposes. Article XIIIC of the California

Constitution, commonly known as Proposition 218, requires Measure EE to be approved by a majority of the voters voting on the Measure.

A “yes” vote on Measure EE is a vote to amend the City’s business license tax ordinance to revise the business license tax rates and structure. A “no” vote on Measure EE is a vote to not amend the City’s business license ordinance and maintain the current business license tax rates and structure.

/s/ Trisha Ortiz,

City Attorney for the City of San Bruno